

Company A business in which two or more people work together to make a product or offer a service. Known also as “firms.” Large companies are often referred to as *corporations*.

Competition Competition arises when two or more producers try to win the business of a buyer by offering the best terms. More competition means that firms will be more efficient and prices lower.

Consumption The purchase, and value, of *goods* or *services*. *Governments* add up individual purchases to calculate a figure of national consumption. The more resources a society consumes, the less money it puts into savings and *investments*.

Corporation A *company* that’s legally authorized to act as a single entity, and is owned by its shareholders who elect directors to run the business.

Cost of living The average cost of basic needs, such as food and housing. It’s a measure of how expensive it is to have an acceptable standard of life in different cities or countries.

Credit A deferred payment. A creditor (lender) lends money to a debtor (borrower) who is trusted to pay later. A bank account is “in credit” when it has funds to repay its *debts*.

Debt A promise made by one party (the debtor) to another (the creditor) to pay back a loan.

Default The failure to repay a loan under the terms agreed.

Deficit An imbalance. A trade deficit is an excess of *imports* over *exports*. A *government budget* deficit is an excess of public spending over *tax revenues*. The opposite of *surplus*.

Deflation A persistent fall in the price of *goods* and *services* over time. The opposite of *inflation*.